The market operates in both ‘organised’ and ‘unorganised’ ways in India. Starting from the ‘person-to-person’ mode and converting into ‘telephonic transaction’, it has now gone *online* in the age of internet and information technology. The transactions might take place through the intermediaries (known as brokers) or directly between the trading sides.

The short-term financial market of an economy is known as the money market. In the money market, basically money is traded between individuals or groups (i.e., financial institutions, banks, government, companies, etc.) who have either cash-surplus or cash-scarce. The trading is done on a rate also known as ***discount rate*** which is determined by the market and guided by the availability and demand for the cash in the day-to-day trading[10]. No collateral security is required to borrow from the money market. In many markets the financial assets which have quick conversion quality into money[11] and carry minimal transaction cost are also traded. Money market may be **defined** as ***a market where short-term (upto 364 days) lending and borrowing takes place between the cash-surplus and cash-scarce sides.***

There are no organised places for the transactions of the money market. It basically started with a telephonic transaction which has now gone ***online*** in the age of internet and information technology. The transactions might take place through the intermediaries (known as brokers) or directly between the trading sides.

## NEED FOR MONEY MARKET

For growth to take place, investments are required in the form of productive assets. Such investments are long-term in nature. Funds for long-term purposes are raised either through borrowings from the banks, or the financial institutions, or through the security market by issuing shares or debentures. Such funds are supplied by the long-term financial market, i.e. the capital market and the firms or the productive assets are set up in an economy. But only the setting up of firms does not guarantee production as these firms keep facing fund mismatches in the process of continued production. There is another required segment of financial market which